

Ejercicio 2º

Proyecto docente: Lección

PLAZA PARA EL CUERPO DE PROFESORES/AS TITULARES DE UNIVERSIDAD I3, DEPARTAMENTO DE CIENCIAS SOCIALES, ÁREA DE CIENCIA POLÍTICA Y DE LA ADMINISTRACIÓN (DF001221)

RESOLUCIÓN DE 10 DE FEBRERO 2026 (B.O.E. DE 19 DE FEBRERO DE 2026)

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2 de junio de 2026

Lecture 9: Global Governance

Globalization: Economics, Politics and Society

1st semester, 4th grade

Degree in International Studies

The Political Trilemma of the World Economy

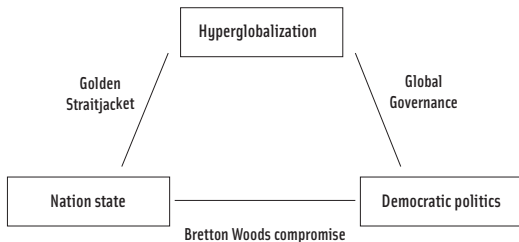


Figure 9-1: Pick two, any two

Figure 1: The Globalization Paradox (Rodrik 2011)

RECAP: What is Rodrik's take?



▶ Link

- Rodrik considers that **hyperglobalization** gives **predominance to the needs of multinational enterprises, big banks, and investment houses** over other social and economic objectives.
- Therefore, he describes **hyperglobalization** as **democratically illegitimate** and **politically unstable**.
- **Global governance** is the political trilemma's scenario that retains **hyperglobalization** and chooses **democracy** by **sacrificing national sovereignty**
- HOW? Through the **concentration of authority upwards** and the establishment of **global standards** that act as a **regulatory lowest common denominator**

- The **political interdependence of states** is a **constitutive characteristic** of the modern state system
 - After all, states only actually become states by **being acknowledged** as such by other states
 - The **territorial integrity** of a state is unquestionably influenced by the expansionary plans of neighboring states
- Kant's *Perpetual Peace* (1795): the **proposed League of States** and his ideal of a **World Federation**
- With the spread of industrialization in the XIXth century, this **interdependence extended** into the **economic** and thus **societal spheres**

- Since the end of the World War II, the Western world started to **turn economic interdependence to their advantage**
- The most notable American contribution to the post-World War international economic system was **multilateral-rule-setting** through **international organizations**
- The international trade regime (**GATT, 1947**) and the regimes for regulating currency and financial affairs (**IMF, 1944** and **WB, 1944**) created an institutional framework without which the world-wide post-war economic boom would not have been possible
 - Important rule-making, rule-enforcing, and legitimating roles
- Multilateralism also **gave smaller and poorer nations a voice and protected their interests in an unprecedented way**

- In the post-World War era, the principle underpinning these international institutions was encapsulated in the notion of the “**compromise of embedded liberalism**”

Ruggie, John (1982). “International Regimes, Transactions, and Change: Embedded Liberalism in the Postwar Economic Order”

“Unlike the economic nationalism of the thirties, the regime would be multilateral in character; unlike the liberalism of the gold standard and free trade, its multilateralism would be predicated upon domestic interventionism.”

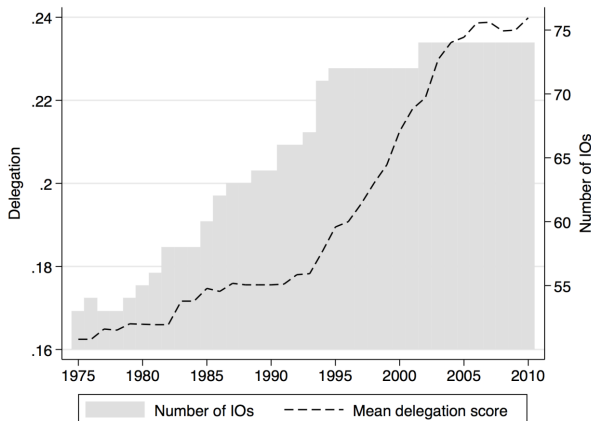


- **Financial globalization**, which began in the mid-1980s, together with the **Uruguay Round** (1986-1994), culminating in the creation of the **WTO** in 1995, marked the beginning of **hyperglobalization**.
 - **Trade agreements extended** beyond their traditional focus on import restrictions and increasingly **encroached upon domestic policy areas**.
 - **Controls on international capital flows** were progressively **dismantled**.
 - **Developing countries came under significant pressure** to open their markets to foreign trade and investment.

- The establishment of **international institutions** as the **response of national governments to hyperglobalization**.
 - Growth in numbers of international governmental agreements: **a linear increase from less than 15,000 in 1960 to well over 55,000 in 1997** ↗
- **Bretton Woods institutions** only coordinated **economic policy areas**
- In the process of political denationalization, **international institutions became increasingly involved in a whole range of other (non-economic) policy areas**

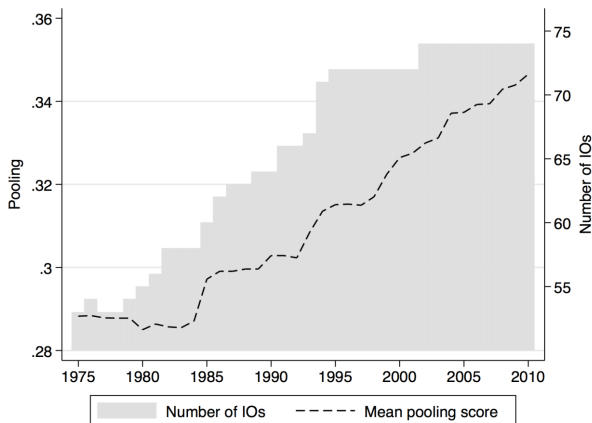
- Concept: **International Organizations**
- “*To select the sample of international organizations in our dataset, we consulted the **Correlates of War** dataset and identified organizations having a distinct physical location or website, a formal structure (i.e., a legislative body, executive, and bureaucracy), at least thirty permanent staff, a written constitution or convention, and a decision body that meets at least once a year.*”
- **76 IOs** that are not emanations from other IOs that fit all or all but one of these criteria between 1975 and 2010:
 - The **WTO** is **IN**, but **NOT** its predecessor, the **GATT**, which had neither a standing assembly nor an executive and lacked a rudimentary administrative capacity.

Measuring International Authority (Hooghe et al. 2019)



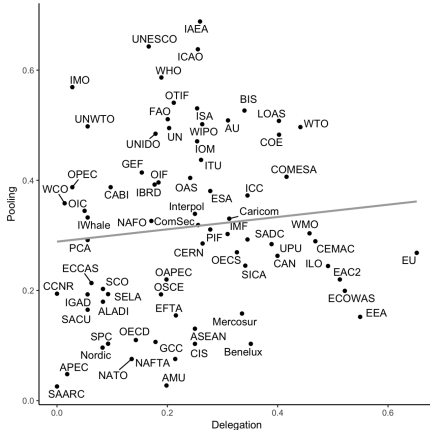
Delegation is a **conditional grant of authority** by member states to an independent body, such as a general secretariat that can set the agenda for decision making, an executive that takes day-to-day decisions, or a court that can impose a sanction on a non-compliant state.

Measuring International Authority (Hooghe et al. 2019)



Pooling is the **joint decision making** among the member countries themselves. It consists of three elements: 1) the rules under which member states make decisions, 2) the procedure by which those decisions are ratified, 3) and the extent to which they are binding.

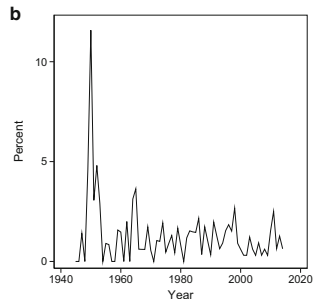
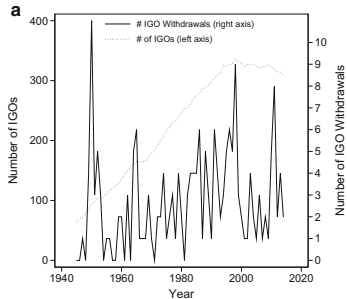
Measuring International Authority (Hooghe et al. 2019)



Two main conclusions:

- 1) **Large membership** organizations tend to have both **more delegation and more pooling**.
- 2) The **broader the policy scope of an IO**, the **more** willing are its members to **delegate**, but the less willing they are to **pool** authority.

Do States Withdraw from IOs? (von Borzyskowski and Vabulas. 2019)



1. A significant **divergence in a state's preferences** from other IO members increases the likelihood that the state withdraws
2. There is a **contagion effect** behind withdrawals: when a lead state in the IO withdraws other states are likely to follow, as they might be worried about a leadership vacuum that can exacerbate internal collective action challenges
3. Countries are **less likely to leave densely democratic** IOs perhaps because they have a more uniform group of member state preferences, may help ensure stronger IO commitments, and are known for providing democratic and other assistance to members
4. But, **more democratic countries are more likely to withdraw**, which is primarily driven by the most frequent leavers (US, UK, and Canada)

Is democratic legitimacy an issue?

Held, David (1995). Democracy and the Global Order. From the Modern State to Cosmopolitan Governance

"Systematizing the provision of global public goods requires not just building on existing forms of multilateral institutions, but also on extending and developing them in order to address questions of transparency, accountability and democracy."

Stiglitz, Joseph (2003). Democratizing the International Monetary Fund and the World Bank: Governance and Accountability

"Discussions about the global economic architecture must embrace all affected parties. It is unacceptable that only central-bank governors and finance ministers have seats at the table when the decisions that they make have such vital effects on others. (...) This may be the most profound lesson to emerge from the global financial crisis: we cannot entrust reform of the global financial architecture to those who created it in the first place. Reforms must be based on more democratic principles."

Is democratic legitimacy an issue?

Zurn, Michael (2004). Global Governance and Legitimacy Problems

"The more intrusive these international institutions become, the more justified and intense the demands will be for their democratization. Without an improvement of the legitimacy of decision-making processes, i.e. the incorporation of affected societal actors into the decision-making process, there is a danger that the effectiveness of international institutions will weaken."

Keohane, Macedo and Moravcsik (2010). Democracy-Enhancing Multilateralism

"Multilateral institutions can enhance the quality of national democratic processes, even in well-functioning democracies, in a number of important ways: by restricting the power of special interest factions, protecting individual rights, and improving the quality of democratic deliberation, while also increasing capacities to achieve important public purposes."

What about Autocratic International Organizations? (Hafner-Burton et al. 2024)

- Many IOs adopt formal “good governance” mandates like **democracy promotion, anti-corruption policies, and human rights protection**.
- In recent years, a large and **growing number of organizations** are made up and governed by **illiberal or outright authoritarian regimes**.
- While it may not be surprising that IOs dominated by **highly democratic member states legalize good governance mandates** into their organizations...
- ... it is surprising that many IOs that are composed of mainly **autocratic states also formally adopt these standards**

The example of the African Union



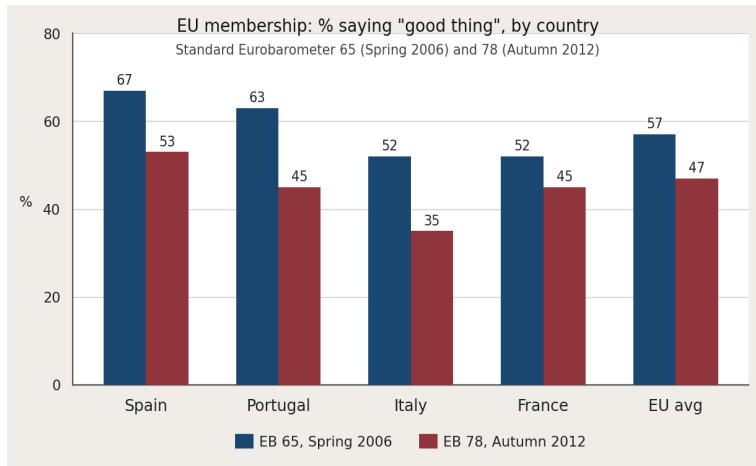
African Union, 2001

- 54 member states
- A majority of them autocratic
- They have adopted formal standards pertaining to the protection of human rights, the promotion of democratic principles and institutions, and the rule of law
- Given that so many of the African Union's members blatantly violate these norms, **why would the organization adopt good governance mandates?**

- 48 regional IOs with primarily autocratic membership between 1945 and 2015
- AIOs facing **pressure and funding from external good governance promoters** (such as the US and the EU) will adopt good governance mandates...
- ... but **strategically shape those mandates in their favor** if they can form bargaining coalitions with like-minded governments (more dominated by purely autocratic members).

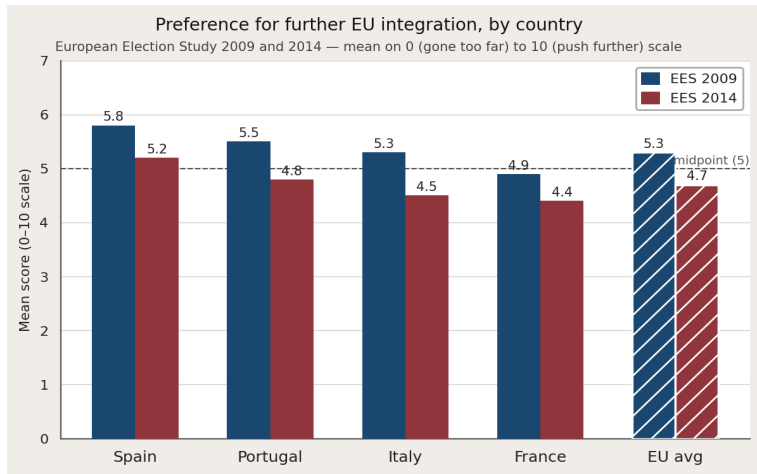
- Rodrik proposes **4 arguments against global governance**:
 1. The democratic legitimacy problem
 2. The “lowest common denominator” problem
 3. Diversity of preferences and circumstances
 4. The problem of institutional monoculture
- The EU as **a cautionary tale**
 - It should be viewed as a great success considering its **progress in institution building**
 - It also demonstrates the **difficulties of achieving a political union** robust enough to underpin deep economic integration, even among a comparatively small number of like-minded countries

EU after the Great Recession



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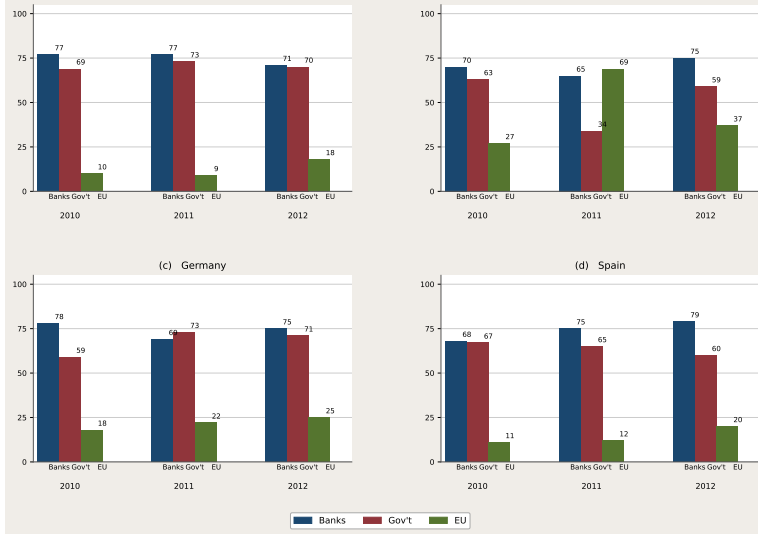
EU after the Great Recession



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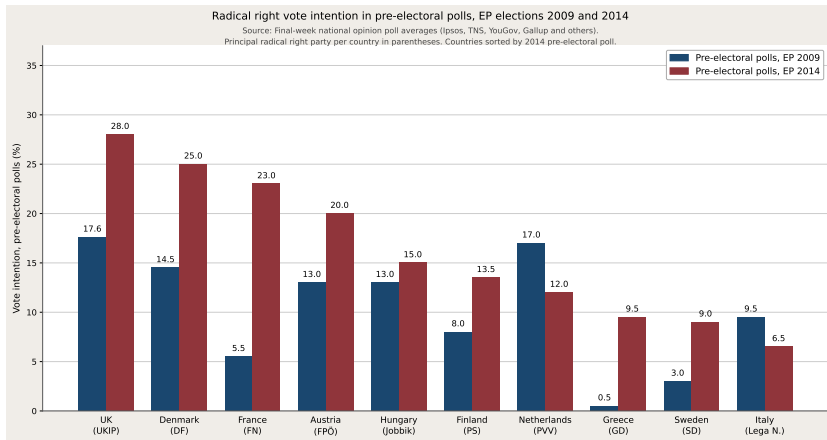
EU after the Great Recession

Figure 3.2. Who is to Blame for Current Economic Problems?
Source: Pew Global Attitudes Project, 2010-2012



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EU after the Great Recession



Note: Figure created with AI



- “Lead candidates’ ’ process is **an attempt to democratize the selection of the European Commission President** by having each major European political party nominate a lead candidate before Parliament elections.
- The idea is that the party winning the most seats would see its candidate become **Commission President, linking the vote to of Europeans to an actual political outcome.**
- The EU treaties require the **Council**, acting by qualified majority, to nominate for **Parliament’s** approval a **Commission** president “taking account of the results of the European Parliament election’ ’



The Spitzenkandidaten

- 2014 — It worked (once)
 - The EPP won, and their Spitzenkandidat **Jean-Claude Juncker** became **Commission President** — despite initial resistance from the **European Council** (notably David Cameron). It was seen as **a democratic breakthrough**.
- 2019 — It collapsed
 - The EPP's candidate **Manfred Weber** was passed over. The **European Council**, led by Macron, rejected the principle outright and instead negotiated the top jobs among heads of state. **Ursula von der Leyen**, who had not been a Spitzenkandidat at all, emerged as a surprise compromise candidate for **Commission President**. The **Parliament** was effectively **bypassed** in the process.
- 2024 — Partial revival, same result
 - The EPP candidate was **Ursula von der Leyen**, who had already been serving in the post since 2019, and her nomination was approved by the **European Council**. So the EPP candidate did get the job — but largely because she was the incumbent and **a pre-agreed Council choice**, not strictly because the Spitzenkandidat logic prevailed.

– The fundamental problem is institutional:

- The Treaties give the **European Council** (heads of state) the power to nominate the **Commission** President, only requiring Parliament to approve the choice.
- **Parliament** has tried to assert that it will only approve a **Spitzenkandidat**, but the **Council** has resisted giving up that power.
- The result is an **ongoing tug-of-war** where the process survives in weakened form — **used when convenient, ignored when not**

- “*Federations are born out of necessity*”
- “*Only if there is a reason for aggregating can a federalization process become a reality... that is, when there is a military threat*”
- In the case of the EU, he conceded that the **economic motive may eventually trump the military one**



Does the EU build order from crises?

